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THE CONTRIBUTION OF THE HISTORY OF ECONOMIC THOUGHT TO THE UNDERSTANDING OF ECONOMIC THEORY, ECONOMIC HISTORY, AND THE HISTORY OF ECONOMIC POLICY

THE ROLE OF THE HISTORY OF ECONOMIC THOUGHT IN THE UNDERSTANDING OF MODERN ECONOMIC THEORY

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My assignment is a discussion of the role of the history of economic thought in the understanding of modern economic theory. It is difficult to get beyond personal impressions and subjective prejudices in such a discussion and mine for the most part will also fail in this respect. However, I think that this audience might be at least as interested in what the profession thinks of the role of the history of thought as in my private predilections. As a consequence I have taken an informal poll of those departments which produce the mass of doctoral degrees in our field. The results, which I will summarize briefly, indicate a decline in the interest in this area. In the rest of my discussion I will attempt a fairly obvious explanation of this decline and will conclude with a brief plea that historians of economic thought reorient their approach and broaden their horizons.

In a report upon graduate education in economics in the United States published in 1953, Howard Bowen related that "from conversations at many institutions I have gained the impression that it has declined in popularity."[1] He went on to suggest that his impression was partly confirmed by the fact that "the number of professors who believe it should be in the core [courses required of all graduate students] is considerably less than the percentage of institutions at which it is required or usually elected."[2] While 76 percent of reporting institutions listed some work in the field as required or usually elected in the Ph.D. program, only 37 percent of responding professors recommended its inclusion in the common core.

This past summer I distributed a questionnaire on this topic to the chairmen of the forty departments of economics in the United States and Canada which produce the largest number of doctoral degrees, ac-

[1] H. Bowen, *"Graduate Education in Economics," A.E.R.*, Sept., 1953, Part 2, p. 115.
[2] *Ibid.*

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cording to the latest available figures from the United States Office of Education. The response was greater than 90 percent, for which I thank any of you who may have been partly responsible. The results are broadly similar to Bowen's answers and his inferences therefrom. The history of economic thought appears to be persisting quite tenaciously in the face of declining popularity.

Eighty-six percent of reporting institutions still offer graduate work in the history of economic thought, and in 70 percent of reporting institutions it is required (fifty-three) or elected (seventeen) by more than half the doctoral students. Moreover 83 percent of the institutions that do not require a course nevertheless include some material from the field on the general examinations for the Ph.D.

A different picture emerges in response to questions designed to elicit some indications of trends in opinion and action. About 40 percent indicated a decrease in offerings or requirements over the past five, ten, or fifteen years; about the same number indicated no change; and only 20 percent indicated an increase. I am inclined to think that in some of the latter cases the increases were a consequence of increases in the size of the graduate programs rather than a change of heart concerning their composition. (Presumably no graduate programs have decreased in size over the past few years, so that the reverse would not apply to the first group.)

Even more significant, perhaps, are the indications that there is a broad difference of opinion between younger and older economists. Respondents to the questionnaire were asked to guess the attitudes of the younger, as compared to the older, economists toward replacing persons on present faculties who teach or do research in the history of economic thought. Fully 63 percent of the replies (the respondents presumably being mostly chairmen) indicated that they believe the younger economists would be less inclined than older ones to replace faculty in this area. Only one institution reported the opposite.

Somewhat contrary evidence appears from published work in the field. The following table shows, for the five volumes of the *Index of Economic Journals* sponsored by the Association, the proportion of pages listing papers in this field to pages required to list all papers. It seems fairly clear that there is no trend during the past thirty-five years in these figures. It may be that figures for the past five years would show a decline; yet while Bowen's data were collected during 1951-52, the last half of the decade of the 1950's shows virtual constancy.

While the above evidence may not be conclusive, I think there is a reasonable presumption that the profession, particularly its younger members, has a declining interest in the history of economic thought. I

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TABLE 1

Volume	Period	Percent of Pages on the History of Economic Thought
I	1886–1924	5.1
II	1925–39	3.9
III	1940–49	4.4
IV	1950–54	3.9
V	1955–59	3.8

now turn to some speculation on why this is the case, and what, if anything, we should do about it.

Let us first make the distinction between the history of economic analysis or theory (concerned with the record of the formal logic of economic models together with what empirical evidence has been adduced to support them) and the history of economic doctrines (or the history of views of economic policies, together with their necessarily attendant political, social, and philosophic connections). This appears to be an increasingly common distinction, and without denying or affirming any causal connections running either way, I think it logically valid and useful.

Is a knowledge of the history of economic analysis a necessary condition for understanding current conventional economic theory? I think the answer is negative. In the ordinary meanings of words, to understand an economic model and to know its historical origin are logically two different things and empirically are observed apart. Leaving aside the great economic theorists, surely we can observe, on the more mundane level of our colleagues, economists who understand and are perfectly competent in modern economic theory but who are quite innocent of any knowledge of its sources.

We might further ask: Is the history of economic analysis a useful way to learn contemporary economic theory, as Bowen suggested in 1953? Again I suspect, although with somewhat less confidence, the answer is again negative, unless we believe (as I certainly do) that there is some value in history for its own sake. It is true, of course, that most of the great economic theorists have had a lively interest in and knowledge of the analytical work of their predecessors, and some have done scholarly work in the area. Perhaps they have been greater economic theorists for those interests. On the other hand, one might more plausibly argue that while fine analysis and lively intellectual curiosity are frequently correlated, this does not show that the satisfaction of the latter contributed to the former. Suppose we imagine two graduate students of perfectly equal analytic ability who differ only in that Mr. A has had x number of courses in economic theory plus one

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in the history of analysis, while Mr. B has had only the x courses in theory. We might agree that Mr. A will have a better understanding of economic theory; but the relevant question is whether this would be the result if Mr. B, in lieu of the course in thought, had had an additional course in economic theory. Both common sense and a decent humility suggest the opposite answer.

Some perspective may be gained on the place of the history of analysis in training professional economists by asking under what conditions, in time or cross-sectionally, is the history of a discipline considered an essential part of professional training in that field. Impressionistic answers are easier to gain cross-sectionally, and it may be useful to rephrase the question: In what contemporary fields will the study of "original sources" be deemed important? In literature and the creative arts, the professional gains his education by exposure to the works of other writers or artists, principally from earlier periods. Textbooks other than collections or reader guides are deemphasized. In many of the social sciences—and perhaps in philosophy—textbooks play a larger role. But in many of these areas parallel readings from original sources and from the "classics" of the field are an essential part of learning the discipline. So far as I can gather, the training of natural scientists relies almost exclusively on textbooks until, in his third or fourth year of graduate work, the student begins his own research.

Economics lies somewhere between the extremes but surely closer to the natural sciences than to the humanities, and perhaps further in that direction than any other social science. Consider the subjects, physical theory, economic theory, and political theory. The first two are largely learned from textbooks; the latter is virtually defined as the history of the subject.

We do not have to be so arrogant as to insist that we, like the natural scientists, have seen the basic truth and that we do not need to know from whence it came. It is true, however, that to an extent that I do not think economists fully comprehend, we have in economic theory a degree of consensus around a basic model, which makes us closer to the natural sciences than to some other fields. This can be put in perspective by a comparison of the history of economics with the history of the natural sciences.

According to a recent interpretation of the history of science by T. S. Kuhn,[3] a "normal science" emerges historically when a "universally recognized scientific achievement" provides "model problems and solutions to a community of practitioners" (p. x). These achievements or paradigms, as Kuhn calls them, attract "an enduring group of adherents" away from random fact gathering and competing models.

[3] T. S. Kuhn, *The Structure of Scientific Revolutions* (Univ. of Chicago Press, 1962).

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At the beginning a paradigm is "largely a promise of success discoverable in selected and still incomplete examples" (pp. 23-24) and an "object for further articulation and specification under new and more stringent conditions" (p. 23). Thus from basic models "spring particular coherent traditions of scientific research" (p. 10) which develop the promise inherent in the basic model "by extending the knowledge of these facts that the paradigm displays as particularly revealing, by increasing the extent of the match between those facts and the paradigm's predictions, and by further articulation of the paradigm itself" (p. 24).

Research, which consists in the further development of such basic models, and which defines scientific communities, has both strengths and weaknesses. It has a criterion for choosing problems "that . . . can be assumed to have solutions" (p. 37) and for gathering data which are relevant; for these reasons, normal research can be highly productive, but it is essentially "mopping up operations" (p. 24). On the other hand, normal research does not "test" the basic model, the soundness of which is taken for granted. Normal research "seems an attempt to force nature into the preformed and relatively inflexible box that the paradigm supplies" (p. 24). Phenomena "that will not fit are often not seen at all" (*ibid.*) or at least are put aside for future problem solving. "Nor do scientists normally aim to invent new theories, and they are often intolerant of those invented by others" (*ibid.*).

Occasionally, revolutions occur. In the further development of a basic model, empirical anomalies appear, the resolution of which can normally be postponed. But if enough such anomalies occur, or if they are particularly critical, a crisis emerges which may shatter the tradition:

> Confronted with anomaly or with crisis, scientists take a different attitude toward existing paradigms, and the nature of their research changes accordingly. The proliferation of competing articulations, the willingness to try anything, the expression of explicit discontent, the recourse to philosophy and to debate over fundamentals, all these are symptoms of a transition from normal to extraordinary research (p. 90).
>
> Scientific revolutions are inaugurated by a growing sense . . . that an existing paradigm has ceased to function adequately in the exploration of an aspect of nature to which that paradigm itself had previously led the way (p. 91).

They are:

> . . . those non-cumulative developmental episodes in which an older paradigm is replaced in whole or in part by an incompatible new one (p. 91).

Smith's postulate of the maximizing individual in a relatively free market and the successful application of this postulate to a wide variety of specific questions is our basic paradigm. It created a "coherent scientific tradition" (most notably including Marx) and its persistence can be seen by skimming the most current periodicals. Presumably the addition of the principle of variable factor proportions, or the notion

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of the consumer with relatively stable transitive preferences, is "further articulation." Its "specification under new . . . conditions" which constitutes "normal research" can be indefinitely illustrated by analyses of monopoly and competition, tariffs and free trade, money and government deficits, excise and income taxes, unions and minimum-wage legislation—the list is long and well known.

Kuhn's analysis allows for subparadigms within a more basic model, and within economics some of our subparadigms have been overthrown. The replacement of classical wages fund doctrine by the generalized marginal productivity theory would presumably be an example. The establishment of utility theory on the one hand and its overthrow (despite the retention of the term) by Pareto and his followers may be others. On the whole, I think the extent to which we have had revolutions in the history of analysis may easily be exaggerated by the failure to distinguish analysis from policy. Just where the dividing line lies between a major further extension of the basic model and the revolutionary overthrow of a submodel may involve an arbitrary element, and this arbitrariness may have its source in a certain ambiguity in Kuhn's conception of the paradigm.[4] But economics has never had a major revolution; its basic maximizing model has never been replaced. Whether this is good or bad (and the fact is the despair of some), it is, I think, remarkable when compared to the physical sciences that an economist's fundamental way of viewing the world has remained unchanged since the eighteenth century. Since economic theory has obvious connections with economic policies over which economists' passions are so easily aroused and considering that these policies have been so vigorously debated by economists past and present, it is a tribute to the supremacy of purely positivistic intellectual forces that such has been the case.

On the other hand, lacking basic revolutions, we have had major, if unsuccessful, rebellions. Certainly the historicists of the nineteenth and the institutionalists of the early twentieth centuries were a (not so) "narrow subdivision of the scientific community" who had a "sense . . . that an existing paradigm" had "ceased to function adequately in the exploration of . . . nature." As in science, "competing articulations . . . explicit discontent, and the recourse to philosophy and to debate over fundamentals" were all symptoms of a crisis. But the profession has never permitted the dissent to get out of hand. The potential revolutions have been suppressed—some would say because of the stupidity and obstinacy if not the venality of economists. As in the sciences,

[4] Cf. Dudley Sharpere, "The Structure of Scientific Revolutions," *Philosophical Rev.*, July, 1964, pp. 383-94.

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the dissenters have to some extent almost been read out of the profession. Little wonder that some have become embittered.

Some perspective can be obtained on the depth of our present consensus by comparing a current dispute—say between two theorists' views about what variables should be included in a demand function for money—with a hypothetical one during the crisis of the 1920's between a Pigou and a Veblen. In a sense the latter two would have had nothing of significance to say to one another, beyond disputing philosophical fundamentals. For the acceptance of Veblen's thoroughgoing alternative paradigm would have meant the abolition of economics as it was known, as alchemy was abolished by chemistry; or the indefinite establishment of two separate disciplines, as astrology was separated from astronomy. Again the consensus is illustrated by the fact that economic history (so often in the past a source of subversive movements and at best maintaining a cold war status relative to theory) shows signs in the "new" economic history of coming into the fold. Needless to say, this is no guarantee that a major revolution will never occur. While I think the consensus may be broader and deeper than it has ever been, it is not universal, and some, like Herbert Simon, call for a major reorientation of economics along psychological lines—as did Veblen.

It might be argued that the consensus of which I speak follows tautologically from the definitions of "economists" and "economic theory" which I am using. In a trivial sense this is, of course, true; but it is also an empirical proposition. It is a prediction concerning the kinds of teaching and research done by the faculties of departments (so named) in what we consider major institutions of learning. Such definitions, therefore, are not so much personal and arbitrary, but those of the recognized profession.

If it is not necessary to an understanding of modern economic theory, why then do we study the history of economic analysis? The question reminds me of Schumpeter's explanation of why true militarists such as the Saracens fought aggressive wars. If asked, according to Schumpeter, the Saracen might spontaneously reply, "The Word of the Prophet"; but if he had a philosophical bent, he might after a moment's reflection reply, "Because I am a man." To ask why academic institutions study historical origins is to question a major part of academic activity; and among those historical origins is the history of economics. We do not need to justify that history simply as a method of teaching economic theory, even if some of that teaching is an inevitable by-product. The better justification may be in the fact that, to vary the dictum of an older scholar, man is a scholarly animal. If we

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even raise the question we are half lost; like Mallory and his mountain, we study history because it is there. It is ironic that, while the history of science is burgeoning as an academic study, historians of economic thought appear to have doubts concerning their justification and to be seeking it in the wrong place.

I conclude that economic theory is very much like a normal science and that, like a normal science, it finds no necessity for including its history as a part of professional training. But I know no reason to suppose that the study should or will disappear. Why then does it appear to be declining? I conjecture that this is a decline from what might be called an "abnormal" level. During the "crisis" which was apparent in American economics as late as the 1920's, competing models flourished. As in other fields where there is no consensus, it is natural for people to turn to the classics of the field. Edgeworth held that "for the mastery of a speculative and controversial science a certain multiplication of authorities is desirable . . . [to] counteract the false tendency of teachers to inculcate, and pupils to learn by rote. Hence the history of theory is particularly instructive in political economy as in philosophy."[5] With the reestablishment of a consensus, with the decline in controversy, it was only to be expected that historical interest would decline to what might be called a normal level for a normal science. I repeat that we have no reason to apologize for scholarly interests, nor do I expect that such interests will disappear.

In closing let me make two pleas against what are apparently current tendencies. If because of our insecurity we look upon the history of economic analysis largely as a method of teaching economic theory, we are very likely to view that history as an accumulation of present truth, as was the tendency in traditional histories of science. It is certainly desirable that we have as accurate a record as possible of the sources of modern theory, but exclusive concentration upon this has some serious drawbacks. Historical distortions are created when, for example, Quesnay's significance is viewed as the discoverer of input-output; when Ricardo's value theory is viewed as an explanation of relative prices; or when Viner's theory of the firm is identified as Marshall's. It also neglects some fascinating intellectual puzzles. In the history of science, scholars have recently tended to look upon past scientific concepts, not so much as "false," but rather as impressive scientific accomplishments for their time, which were accepted for good reasons, although they were later rejected for good reasons. More serious efforts to see logical coherence in past theoretical concepts—productive and unproductive labor, Mill's propositions on capital, or the wages fund—might lead us to find some logical validity even

[5] As quoted by M. Blaug, *Economic Theory in Retrospect* (Irwin, 1962), p. viii.

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if the concepts were rejected for good empirical reasons. It would be surprising if past scientific theories were good science while rejected economic theories were just nonsense. No doubt some, maybe many, of them were nonsense; and excessive sympathetic relativism has led to some atrocious economics. A "shortage of money" has been used to justify mercantilism and England's "monopoly" of manufacturing is held to explain the rise of the theory of comparative advantage and its alleged subsequent irrelevance. But the proper rejection of nonsense may lead us to reject more serious consideration of neglected concepts.

Finally, I question the recent emphasis upon the history of analysis at the expense of the history of doctrines. Not only is the scholarly study of economic doctrines a legitimate historical inquiry, but it has, if we follow Edgeworth, what might even be called a practical value. Whatever we intend, we train in fact not only positive economists but makers and teachers of economic policy. On economic policy we have no consensus; on the contrary we have profound differences. They arise, not so much from theoretical differences as partly from fundamental values, and perhaps more importantly from differences in views on the nature of governments and the possibilities of government action. We all survey the same history of government policies, but some of us come out "empiricists" and some come out "optimists." Since we have no consensus, we cannot define and therefore cannot teach "sound" economic policy as we can define and teach "sound" economic theory—regardless of what may be suggested by the emphasis upon high school courses in economics. But if Edgeworth was right concerning the teaching of controversial sciences, exposure is desirable to a variety of thoughts on economic policy together with their inevitable relationships to broader intellectual currents. If economists are to talk glibly about government policy—and there is no doubt that they will—it would be some comfort to know that they had been at least exposed to the wide variety of what we might call basic paradigms concerning the nature, role, and possibilities of the state. It might be reassuring if facile teachers and makers of policy were aware, not only of Cournot's second order conditions or Pareto's argument for nonadditive utility functions; not only, further, of Malthus' case against private charity or Walras' views on the nationalization of land; at least as important might be some inkling of the political philosophies of Burke and Paine, or, for that matter, of Plato and Polybius. Driven, perhaps, by a misplaced desire to be scientifically respectable, historians of economic thought appear to be tending the other way.

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